



followed the due process for donating to political parties via these bonds.

“While electoral bonds have suddenly come into the eye of the storm, this whole subject is not new. Political parties have always required money for their work and also to fund elections. In the past, sources of money have been primarily dubious and the country has tried to channelise cleaner, more transparent and more accountable funding of political parties. This is done across the world,” says Rishi Agrawal, Co-Founder and CEO of compliance management software firm TeamLease RegTech.

He points out that even in the past, the Companies Act allowed donations by companies to political parties, although it was subject to certain conditions and contained a maximum ceiling of 7.5% of average

EXPERTS SAY DONORS FOLLOWED THE DUE PROCESS FOR DONATING TO PARTIES

profits of the previous three years. Moreover, it had to be approved by the board of directors of the company and had to be disclosed in the P&L accounts. A penalty as high as five times the donated amount could be levied in case of non-disclosure by the company.

Now, with the veil of anonymity lifted from these bonds and many of their purchasers being listed companies, it remains to be seen how corporates go about making disclosures to shareholders on

these purchases. Some firms had already reported these bond purchases under miscellaneous expenses in their annual reports.

“Many companies that purchased electoral bonds disclosed it in their profit and loss statements in headings such as political donations or notes to accounts or hid it under other headings. There are also companies that did not disclose the purchase of these bonds. With the data now public, all companies are likely to disclose the purchases in their annual reports this financial year,” said Shriram Subramanian, Founder & MD of proxy advisory firm InGovern.

For shareholders, annual reports in the coming months could be worth scrutinising to assess the quality of these disclosures. **BT**

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